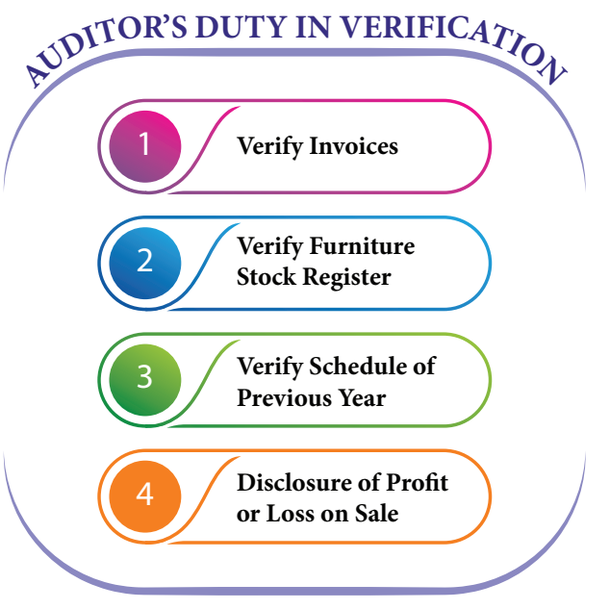


VALUATION OF FIXED ASSETS

1. **Valuation of Land:** Land which does not have depreciated value, is valued at cost price.
2. **Valuation of Other Fixed Assets:** Other fixed assets like Buildings, Plant, machinery, office equipment, furniture and fixtures should be valued at going concern value.
3. **Depreciation:** Auditor should ensure that adequate amount of depreciation has been provided, taking into account the working life and usage of the asset.
4. **Disclosure in Balance Sheet:** He should verify that furniture, fittings and fixtures are disclosed in Balance Sheet at cost less depreciation.

4.5 Verification and Valuation of Investments

An investment is a monetary asset purchased with the idea that the asset will provide income in the future or will later be sold at a higher price for a profit. Investments include Government securities, shares, debentures, etc. When the number of investments is very large, the auditor should ask for a schedule of investments held by the client containing various particulars like name of the securities, date of purchase, nominal value, cost price, market price, etc., and examine the same. He should ensure that the investment asset has been shown separately in the Balance Sheet.



The auditor should verify the existence of investments by personal inspection. At the same time, he should also ensure that the investments are registered in the name of the client and they are free from any charge. He should rely on the relevant vouchers and certificates to do so.

If the securities are with the trustees on behalf of the concern the auditor should examine the trust deed. In case they are under the safe custody of the banker then he should obtain the certificate from the banker and examine the same. If they are with the broker, he should examine the certificate received from the broker.

Having verified the securities, the auditor has to find out that the investments are properly valued. Generally, investments are valued at cost price or market price whichever is lower. In case there is a temporary fall in the price of the shares,

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